

IBA Guidelines on Conflict of Interest in International Arbitration

The 2004 Guidelines listed specific situations designated red, orange and green with the aim of illustrating the General Standards for determining conflict of interest.

- The red list indicates situations which amount to conflict of interest
- The green list indicates situations that do not create conflict of interest or appearance thereof
- The orange list may depending on the facts of a given case raise justifiable doubt, therefore a disclosure pursuant to GS-3 has been mandated.

GS - 1

It requires that the arbitrator be impartial and independent of the parties at the time of accepting an appointment to serve in a tribunal and shall remain so until the final award is rendered.

- The arbitrator's obligation in this regard ends when the tribunal is rendered its final award or the proceedings have otherwise terminated
- If after setting aside the dispute is referred back to the same tribunal, a fresh round of disclosure will be necessary

GS - 2

1. An arbitrator shall decline an appointment or refuse to continue as an arbitrator if he has any doubts as to his impartiality or independence
2. If certain facts or circumstances have arisen since the appointment, which to a reasonable person would give justifiable doubts to the impartiality of the arbitrator, he must decline his appointment or continue to act.
3. Doubts are justifiable if a reasonable third person would reach to the conclusion that the arbitrator is likely to be influenced by factors rather than the merits of the case.
4. A situation in the non-waivable red list is assumed to create a justifiable doubt.

The phrase impartiality or independence is derived from the UNCITRAL Model Law. Article 12 also adopts a reasonable third person test.

If the circumstances are akin to those described in the Waivable Red List, then an arbitrator is not ipso facto rendered incapable to continue. He must make a disclosure under GS-3 and let the parties decide.

GS - 3

1. If there are circumstances that may give rise to doubts, the arbitrator shall disclose such facts to the parties, the institution or the appointing authority and the co-arbitrators prior to accepting the appointment or as soon as the arbitrator learns of this.
2. A declaration or waiver in advance does not discharge the arbitrator of the continuous duty of disclosure under (1).
3. Arbitrators who have made disclosure and consider themselves to be impartial and independent under GS-1 and GS-2 shall be capable of continuing to function as arbitrator.
 - Disclosure does not imply the existence of conflict of interest. Arbitrators who have (1) disclosed the relevant facts and circumstances that could lead to justifiable doubts (2) having decided that these circumstances do not impair their judgment **must be allowed to continue unless the parties feel that he must be disqualified.**
4. Dispute concerning whether or not to disclose should be resolved in favour of disclosure.

5. If the arbitrator finds that he should make a disclosure, but the rules of practice or secrecy prevent such disclosure. He should not accept the appointment or should resign.

GS - 4

1. If within thirty days after receipt of disclosure or the party otherwise learns of facts and circumstances that could cause a potential conflict of interest **such party does not raise an express objection** subject to (2) and (3) the party is **deemed to have waived** any potential conflict of interest and cannot raise such an issue at a later stage.
2. If facts exist as described in the non-waivable Red List, any waiver by a party shall be regarded as invalid.
3. A person cannot be an arbitrator where a conflict of interest in the waivable red list exists. Nevertheless, the appointment may continue if **other arbitrators institutions appointing authority have full knowledge** of the conflict of interest and **parties agree that such person may continue** to serve an arbitrator despite conflict.
4. An arbitrator **may assist the parties through conciliation at any stage**. However, the **arbitrator should receive an express agreement** that acting in such manner shall not disqualify the arbitrator from continuing to serve as an arbitrator. The agreement is considered to be **effective waiver of conflict of interest from the arbitrator's participation in such process**.